Re: Capital Market Sophistication Evaluation

Dear Professor Matos,

Thank you for your evaluation of the Global Capitalism Index and the Capital Market Sophistication Subindex. Your critiques are valuable, and we appreciate the care you took in reviewing across multiple elements of the index. Below are our responses to your feedback and recommendations.

I. Separating Subindices

CMS vs. Banking System

> *"At a high level, my recommendation would be to approve the Index model. I do have a few minor, high-level observations, though I won't have time to flesh these out in detail. Overall, I think the Capital Market Sophistication subindex is well designed. My main thoughts are around how separable it is from some of the other subindices: On Depth and Stability of the Banking System, the framework works well for equity markets, VC, M&A, and liquidity. For bond markets, I understand and agree with the market-based model you're using. That said, it might be worth either stating this more explicitly or acknowledging the role banks can play in local and international bond markets, particularly in more bank-centered systems."*

By examining enabling inputs alongside observable market outputs, our framework establishes a baseline assessment of the capacity for capital markets to exist and attain a level of sophistication. This distinction is particularly critical in a global context, where financial systems frequently diverge from traditional Western, bank-centered or market-based models. Capturing and normalizing cultural divergences requires evaluating access and participation through multiple, complementary indicators. Accordingly, we have constructed this subindex to capture structural differences through the inclusion of both infrastructure- and transaction- based variables, allowing for a more nuanced and internationally comparable assessment of capital market development. In many bank-centered financial systems, commercial banks serve as primary intermediaries in domestic bond markets by underwriting, holding, and distributing corporate and government debt in ways that substitute for independent capital markets. The subindex captures bond market activity through market-based indicators but we acknowledge that the balance between bank-intermediated and market-intermediated debt financing varies meaningfully across national financial systems. We have added this language to the whitepaper in orde to make that distinction more explicit.

CMS vs. Free Flow of Goods and Capital

> *"As I mentioned briefly when we spoke, it could be helpful to distinguish more clearly between domestic versus cross-border equity, VC, bond, and M&A activity. For bonds in particular, clarifying domestic vs. foreign issuance and currency denomination could aid interpretation."*

Our current approach is to assign primarily domestic market indicators to CMS (e.g., domestic equity market capitalization, domestic bond market size, domestic M&A activity) and cross-border flow indicators to Free Flow of Goods and Capital (e.g., portfolio flows, FDI, capital account openness). The intent is to separate the question of *how developed a country's own capital markets are* from the question of *how open the country is to cross-border capital movement.* We will tighten this theoretical differentiation in the whitepaper to ensure it is clear.

II. Principal Components Analysis

> *"I'm no expert on PCA, but my sense is that a few additional robustness checks would increase confidence. None of these points detract from the overall quality or usefulness of the Global Capitalism Index, and I wish you and the team all the best with it!"*

The version of the whitepaper you reviewed did not yet have finalized robustness checks, and this is now rectified with full documentation of expanded robustness tests in the final version of the whitepaper. Please see the Analysis section for robustness tests.

Concluding Remarks

We would be happy to discuss any of these points further, and we hope to continue this productive dialogue about how to strengthen the Capital Market Sophistication subindex and the Global Capitalism Index at large.

Sincerely,

UVA Democracy and Capitalism Lab